

Margin Notice + Client Redemption Log

Status: Urgent - funding markets tighten

17 August 2007



Phase 5 market stress: funding markets tighten, collateral demands rise, and liquidity becomes more important than reported valuation.

Market Stress Tape - YTD performance				
Broad equity	Financial sector	Structured credit	IG bonds	Cash/T-bills
-3.8%	-14.5%	-12.0%	+4.8%	+1.9%

1. Liquidity Desk - Status Overview



Formal Margin Notice

URGENT

\$12m

T+1, 10:00 AM

Deadline

ADDITIONAL COLLATERAL REQUIRED

FROM

Dealer A Collateral Operations

SUBJECT

Additional collateral required

AFFECTED COLLATERAL

Structured credit and financial-sector baskets

ELIGIBILITY UPDATE

Mezzanine structured notes no longer accepted as eligible collateral

Haircut update

14%

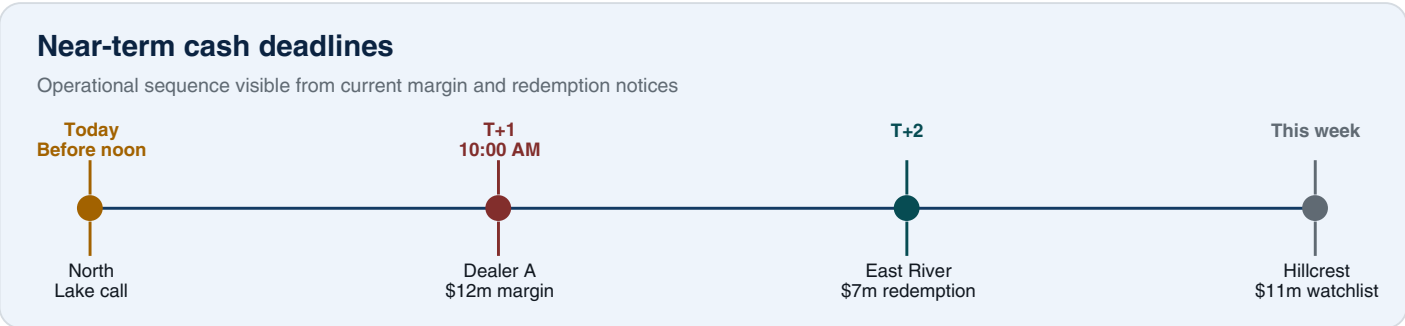
previously 6%



Client Redemption Log

Client	Status	Cash need	Deadline
North Lake Pension	Potential redemption	\$18m	Call before noon
East River Endowment	Confirmed redemption	\$7m	T+2
Hillcrest Insurance	Review / watchlist	\$11m	This week

Active requests remain separated by confirmed, potential and watchlist status.





Collateral eligibility update

Mezzanine structured notes are no longer accepted as eligible collateral under the revised Dealer A haircut schedule.



Client request separation

North Lake and East River are active cash demand channels; Hillcrest remains in review / watchlist status this week.

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Supplemental liquidity sources and scenario review

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3. Liquidity Sources

Source	Amount	Timing	Execution note
Cash/T-bills	\$22m	Same day	Immediately usable
IG bonds	\$31m	T+1	Clean execution
Broad equity	\$28m	T+1	Volatile market
Clean senior structured	\$12m	T+3/T+5	Negotiated sale
Complex structured	Uncertain	Negotiated	No reliable block bid

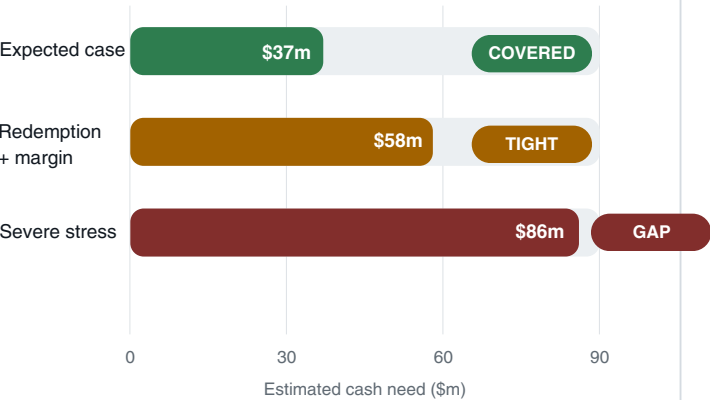
Visibility declines from same-day cash to negotiated structured positions.

4. Execution Visibility

Cash/T-bills	\$22m	Same day
IG bonds	\$31m	T+1
Broad equity	\$28m	T+1 volatile
Clean senior structured	\$12m	T+3/T+5
Complex structured	Uncertain	Uncertain

Amounts are institutional notional shown in current desk materials.

5. Scenario Cash Need



Cash Need Table

Scenario	Estimated cash need	Status
Expected case	\$37m	Covered
Redemption + margin case	\$58m	Tight
Severe stress case	\$86m	Gap

Stress cases convert market moves into operational cash deadlines.



Residual Portfolio Risk Note

Using only liquid assets can leave the remaining portfolio more concentrated in structured credit. The immediate cash solution should be reviewed together with post-sale portfolio liquidity.

